UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2017/2018

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

FRIDAY, 8 SEPTEMBER 2017 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. Messi Berhad is a Malaysian gym equipments manufacturer. It has only one production plant located in Penang. Output produced from this production plant will be sold domestically as well as to all its major export markets such as U.S., China, Brazil, Argentina, Spain, Japan and Korea.

Recently, Messi Berhad exports its products worth USD 800,000 to its customer in Chicago, U.S., and has allowed the customer a three-month credit term. Messi Berhad currently has no cash surplus and its capital structure is still below the industry average gearing. Assistant of the Chief Finance Officer has obtained the following information:

Spot rate (MYR/USD)	4.1480 – 4.1620
Three-month forward	160 – 80 points
Three-month MYR interest rates	4.50% – 6.00%
Three-month USD interest rates	1.70% – 2.50%
Three-month call options on USD	1% premium; strike = MYR4.2200/USD
Three-month put options on USD	3% premium; strike = MYR4.2000/USD

Required:

(a) Calculate the receipt in MYR if Messi Berhad implements forward market hedge. (4 marks)

(b) Explain whether Messi Berhad should use call options or put options above to hedge its transaction exposure. Calculate the receipt in MYR if Messi Berhad implements options market hedge and the future spot rate at the end of three months turns out to be: (i) MYR4.1800/USD and (ii) MYR4.2800/USD respectively. (14 marks)

(c) Calculate the receipt in MYR if Messi Berhad implements money market hedge. (10 marks)

(d) Which is the most optimal contractual hedging technique for Messi Berhad? (2 marks)

(e) Messi Berhad's top management discussed about the proposal to change from single plant strategy to multiple plant strategy by establishing a production plant in each of its major foreign sales markets. Evaluate the advantages and disadvantages of multiple plant strategy. (10 marks)

[Total: 40 marks]

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) What is "Brexit"? Evaluate its major effects to the European Union. (10 marks)

(b) When a country adopts pegged exchange rate system, what are the typical forces that break the peg? (12 marks)

(c) In the 1990s, Southeast Asia was the most attractive region of foreign direct investment inflows, but it ceased to be so in the last decade although the region has generally recovered from the Asian Financial Crisis. Give **TWO (2)** main reasons for the reduction in foreign direct investment inflows into the region. (8 marks)

[Total: 30 marks]

Q2. (a) Torres Sdn Bhd, a Malaysian multinational corporation, continuously has net cash outflow in Chinese Yuan. Explain **FOUR (4)** possible ways of restructuring operations to reduce its economic exposure in Chinese Yuan. (8 marks)

(b) Explain **SIX (6)** advantages that a joint venture business could enjoy in the host country compared to a wholly-owned subsidiary? (12 marks)

(c) Information of a 90-day Japanese yen call options are as follow:

Strike price = JPY25.00/MYR
Premium = MYR0.00003/JPY
Contract Size = JPY 1,000,000

Required:

If future spot rate turns out to be JPY23.20/MYR and JPY26.80/MYR respectively, calculate the net payoff in MYR for a trader who long eight call options contracts. (10 marks)

[Total: 30 marks]

Q3. (a) Klose Group is a Malaysian multinational beverages manufacturer and distributor that has subsidiaries in more than ten countries over the globe, including the United States, the United Kingdom and France. Parent company in Malaysia is considering to obtain a one-year foreign currency loan to finance its working capital needs in Malaysia due to the difficulty to raise home currency loan during the period of sluggish economy. The Finance

Section B Q3. (a) (Continued)

Director of Klose Group has gathered the following information on three foreign currency financing alternatives:

	Loan Principal (today)	Current spot rate	Interest rate
Alternative 1	USD 6,000,000	MYR4.0000/USD	5%
Alternative 2	GBP 4,000,000	MYR6.0000/GBP	7%
Alternative 3	EUR 4,800,000	MYR5.0000/EUR	6.5%

In addition, expected inflation rates in Malaysia, the United States, the United Kingdom and the Euro zone are 10%, 6%, 4% and 8% respectively in the coming year.

Required:

(i) Assuming Purchasing Power Parity (PPP) holds, estimate one-year future spot rates for MYR/USD, MYR/GBP and MYR/EUR. (6 marks)

(ii) Calculate effective cost of funds for each of the three foreign currency financing alternatives. Which is the best alternative for Klose Group? [Hint: calculate both principal and repayment in MYR terms, and then the effective cost of funds in %.] (16 marks)

(b) Evaluate how each of the following factors likely to affect the net foreign direct investment account of a particular host country's Balance of Payments.

(i) Host country government has just acquired some of the local private enterprises in its economy's major sectors. (4 marks)

(ii) Host country currency is currently weak, but is expected to strengthen over time in the future. (4 marks)

[Total: 30 marks]